

Reinsurance Treaty - EX2025001 - 10

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

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TREATY NUMBER: EX2025001_10

****BETWEEN****

****EXAMPLE CEDENT INC.****

(hereinafter referred to as "the Company" or "the Reinsured")

****AND****

****EXAMPLE REINSURER CORP.****

(hereinafter referred to as "the Reinsurer")

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ARTICLE 1: GENERAL PROVISIONS

1.1 Period of Cover

This Treaty shall be effective from **00:01 hours on 1st January 2025** to **24:00 hours on 31st December 2025** (both dates inclusive at the location of the risk) and shall apply to all policies and contracts of insurance incepting or renewing during this period.

1.2 Governing Law and Jurisdiction

This Treaty shall be governed by and construed in accordance with the laws of England and Wales. The parties irrevocably submit to the exclusive jurisdiction of the courts of England and Wales.

1.3 Currency

All amounts stated in this Treaty are expressed in **United States Dollars (USD)** unless otherwise specified. Where the Company's business is written in other currencies, conversion shall be at the rate of exchange prevailing at the time of transaction.

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ARTICLE 2: BUSINESS COVERED

2.1 Classes of Business

This Treaty shall apply to the following classes of business written by the Company:

****A. Property Insurance****

- Fire and Allied Perils
- Business Interruption
- All Risks Property
- Theft and Burglary

****B. Liability Insurance****

- General Liability
- Professional Indemnity
- Product Liability
- Directors & Officers Liability

****C. Casualty Insurance****

- Personal Accident
- Employers' Liability
- Workers' Compensation

2.2 Territorial Scope

This Treaty shall cover risks located in or business emanating from:

- United States of America
- Canada
- United Kingdom
- European Union Member States

2.3 Exclusions

The following classes of business are specifically excluded from this Treaty:

- Aviation Hull and Liability
- Marine Hull and Cargo
- Credit and Surety
- Financial Lines (except as specifically included in Article 2.1B)
- Nuclear Energy Risks
- War and Terrorism (unless covered by standard policy terms)
- Cyber Insurance
- Flood risks in designated high-risk zones
- Earthquake risks exceeding PML of USD 10,000,000 per event
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ARTICLE 3: REINSURANCE SHARE AND RETENTION

3.1 Quota Share Percentage

The Reinsurer agrees to accept ****60%**** (sixty percent) of all business ceded under this Treaty.

The Company shall retain for its own account ****40%**** (forty percent) of all business ceded under this Treaty.

3.2 Basis of Cession

The reinsurance shall attach to each and every risk and/or policy accepted by the Company within the scope of this Treaty on a quota share basis.

3.3 Maximum Line and Capacity

- ****Company's Maximum Retention per Risk:**** USD 2,500,000
- ****Reinsurer's Maximum Liability per Risk:**** USD 3,750,000
- ****Treaty Capacity per Risk:**** USD 6,250,000

Any portion of a risk exceeding the Treaty Capacity shall be subject to facultative reinsurance or declined.

3.4 Automatic Binding Authority

The Company has automatic binding authority up to the Treaty Capacity per risk without reference to the Reinsurer, subject to the Company's underwriting guidelines and the terms of this Treaty.

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ARTICLE 4: PREMIUM PROVISIONS

4.1 Premium Basis

The premium payable to the Reinsurer shall be ****60%**** of the gross written premium on all business ceded under this Treaty.

Gross written premium shall include:

- Original policy premiums
- Additional premiums for endorsements and extensions

- Premium adjustments (positive or negative)
- Reinstatement premiums (where applicable)

Gross written premium shall exclude:

- Taxes, levies, and duties collected on behalf of governmental authorities
- Policy fees and administrative charges
- Premium for excluded classes of business

4.2 Provisional Premium

The Company shall pay provisional premium to the Reinsurer based on estimated gross written premium of ****USD 45,000,000**** for the Treaty period.

****Provisional Annual Premium:**** USD 27,000,000 (60% of USD 45,000,000)

4.3 Minimum and Deposit Premium

****Minimum Annual Premium:**** USD 20,000,000

****Deposit Premium:**** USD 6,750,000 (25% of provisional premium)

The Deposit Premium shall be paid as follows:

- USD 2,250,000 on or before 1st January 2025
- USD 2,250,000 on or before 1st April 2025
- USD 2,250,000 on or before 1st July 2025

4.4 Premium Adjustments

Premium shall be adjusted quarterly based on actual gross written premium. The Company shall provide premium bordereaux within 30 days following the end of each calendar quarter, and any premium balances shall be settled within 45 days of receipt of bordereaux.

4.5 Premium Warranty

The Company warrants that the estimated gross written premium is based on current business plans and reasonable expectations. Should actual premium fall below 75% of the estimated premium, the Reinsurer reserves the right to review the terms of this Treaty.

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ARTICLE 5: COMMISSION AND PROFIT COMMISSION

5.1 Ceding Commission

The Reinsurer shall allow the Company a provisional ceding commission of ****32.5%**** (thirty-two point five percent) of the reinsurance premium ceded.

5.2 Sliding Scale Commission

The provisional commission shall be subject to adjustment on a sliding scale basis according to the loss ratio as follows:

| Loss Ratio | Ceding Commission |

|-----|-----|

| 0% - 50% | 37.5% |

| 50.01% - 55% | 36.0% |

| 55.01% - 60% | 34.5% |

| 60.01% - 65% | 33.0% |

| 65.01% - 70% | 31.5% |

| 70.01% - 75% | 30.0% |

| Above 75% | 27.5% |

****Loss Ratio**** = (Incurred Losses + Loss Adjustment Expenses) / Reinsurance Premium × 100

5.3 Profit Commission

In addition to the ceding commission, the Reinsurer shall pay to the Company a profit commission calculated as follows:

****Profit Commission = 20% of Underwriting Profit****

Where:

****Underwriting Profit**** = Reinsurance Premium - Incurred Losses - Loss Adjustment Expenses - (Reinsurance Premium × 35%)

The 35% deduction represents the Reinsurer's management expenses and profit margin.

****Maximum Profit Commission:**** 10% of reinsurance premium

****Minimum Profit Commission:**** 0% (no negative profit commission)

5.4 Commission Adjustment

Commission adjustments based on the sliding scale and profit commission calculations shall be determined at the end of the Treaty period and settled within 90 days of the final Treaty accounting.

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ARTICLE 6: LOSSES AND CLAIMS

6.1 Loss Participation

The Reinsurer shall participate in all losses, loss adjustment expenses, and claims expenses in the same proportion as the reinsurance share (60%) on all business ceded under this Treaty.

6.2 Definition of Loss

For the purposes of this Treaty, "loss" shall include:

- Claims paid or payable under policies reinsured
- Loss adjustment expenses (allocated and unallocated)
- Defense costs and legal expenses
- Claims handling expenses
- Ex-gratia payments approved by the Reinsurer

6.3 Loss Settlement Basis

Losses shall be settled on an ****Occurrence Basis**** according to the terms and conditions of the original policies issued by the Company.

6.4 Loss Advice and Reporting

The Company shall advise the Reinsurer of:

****A. Routine Claims:**** Within quarterly bordereaux

****B. Large Claims:**** Within 30 days of notification when the Reinsurer's estimated ultimate liability exceeds:

- USD 250,000 for Property classes
- USD 500,000 for Liability and Casualty classes

****C. Catastrophe Claims:**** Within 72 hours of the event when the Reinsurer's estimated ultimate liability exceeds USD 1,000,000 in the aggregate

6.5 Claims Control and Settlement Authority

The Company shall have full authority to settle, adjust, defend, or compromise all claims without reference to the Reinsurer, provided that:

- The Company acts in accordance with good insurance practice
- Settlements are made in good faith
- The Reinsurer is advised of large claims as specified in Article 6.4

For claims where the Reinsurer's estimated liability exceeds USD 2,000,000, the Reinsurer shall have the right to:

- Associate in the defense and settlement
- Be consulted before final settlement
- Appoint claims adjusters and legal counsel (costs to be shared proportionally)

6.6 Ex-Gratia and Extra-Contractual Obligations

Ex-gratia payments and extra-contractual obligations (ECO) shall only be covered under this Treaty if:

- Prior written approval is obtained from the Reinsurer
- The payment is reasonable and made in good faith
- The Reinsurer's share does not exceed USD 100,000 per claim without specific agreement

6.7 Loss Payment Terms

The Reinsurer shall pay its share of losses within ****30 days**** of receipt of the Company's loss statements and supporting documentation.

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ARTICLE 7: REINSURANCE ACCOUNTS AND BORDEREAUX

7.1 Quarterly Accounts

The Company shall render to the Reinsurer detailed quarterly accounts showing:

****Premium Bordereaux:****

- Policy number and insured name
- Inception and expiry dates
- Sum insured and limits of liability
- Gross premium and reinsurance premium
- Commission earned

****Loss Bordereaux:****

- Claim number and policy reference
- Date of loss and notification date
- Description of loss
- Paid losses and outstanding reserves
- Reinsurer's share

7.2 Timing of Accounts

Quarterly accounts shall be rendered within ****30 days**** following the end of each calendar quarter:

- Q1 (January-March): Due 30th April
- Q2 (April-June): Due 30th July
- Q3 (July-September): Due 30th October
- Q4 (October-December): Due 30th January 2026

7.3 Settlement Terms

Net balances shown on quarterly accounts shall be settled within ****45 days**** of receipt of accounts.

7.4 Final Accounting

A final accounting for the Treaty period shall be rendered within ****90 days**** of the Treaty expiry date, showing:

- Total premium adjustments
- Final commission calculations
- Profit commission (if applicable)
- Outstanding loss reserves
- Net balance due
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ARTICLE 8: RESERVES AND LOSS DEVELOPMENT

8.1 Loss Reserves

The Company shall establish and maintain adequate loss reserves for all claims under this Treaty in accordance with:

- Generally Accepted Accounting Principles (GAAP)
- Statutory accounting requirements
- Sound actuarial principles
- The Company's reserving policies

8.2 Reserve Changes

The Reinsurer shall participate proportionally in all changes to loss reserves, whether increases or decreases, as reported in the quarterly bordereaux.

8.3 Incurred But Not Reported (IBNR)

The Company shall establish IBNR reserves based on actuarial estimates. The Reinsurer's share of IBNR shall be included in the quarterly and final accounts.

8.4 Case Reserves

Individual case reserves shall be established for all reported claims and reviewed regularly. Significant changes to case reserves (exceeding 25% or USD 100,000, whichever is less) shall be explained in the bordereaux.

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ARTICLE 9: DURATION AND TERMINATION

9.1 Treaty Period

This Treaty shall be in force for the period specified in Article 1.1 and shall automatically terminate at the expiry date unless extended by mutual written agreement.

9.2 Cancellation

Either party may cancel this Treaty by giving ****90 days**** written notice to the other party. Cancellation shall be effective from 00:01 hours on the first day of the calendar month following the expiration of the notice period.

9.3 Effect of Cancellation

In the event of cancellation:

****A. Run-Off:**** The Reinsurer shall remain liable for its share of losses under policies incepting before the cancellation date.

****B. Premium Adjustment:**** Premium shall be adjusted pro-rata for the period the Treaty was in force, subject to the minimum premium specified in Article 4.3.

****C. Unearned Premium:**** The Reinsurer's share of unearned premium shall be calculated and returned to the Reinsurer on a pro-rata basis, less a processing fee of 5%.

****D. Commission:**** Commission shall be recalculated based on the actual loss ratio for the period the Treaty was in force.

9.4 Portfolio Withdrawal

The Reinsurer may withdraw its liability for unearned premiums by giving ****90 days**** written notice and paying to the Company:

- The Reinsurer's share of unearned premium reserves
- Plus 25% of such unearned premium as a portfolio withdrawal fee
- Less any outstanding balances due to the Reinsurer
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ARTICLE 10: SPECIAL PROVISIONS

10.1 Follow the Settlements

The Reinsurer agrees to follow the settlements of the Company, provided that:

- The Company acts within the terms of the original policy
- Settlements are made in good faith
- The Company exercises the same care it would exercise on business retained net for its own account

10.2 Follow the Fortunes

This Treaty is subject to the principle of "follow the fortunes," whereby the Reinsurer agrees to follow the fortunes of the Company with respect to the business reinsured hereunder.

10.3 Errors and Omissions

Inadvertent errors, omissions, or delays in reporting or remitting amounts due under this Treaty shall not relieve either party from any liability which would have attached had such error, omission, or delay not occurred, provided that:

- The error or omission is corrected within 12 months of discovery
- The error or omission was made in good faith
- No prejudice results to either party

10.4 Intermediary Clause

****Intermediary:**** Global Reinsurance Brokers Ltd.

All communications, premiums, and loss settlements under this Treaty shall be transmitted through the Intermediary. The Intermediary is authorized to:

- Receive and hold premiums on behalf of the Reinsurer
- Receive and hold loss payments on behalf of the Company
- Transmit all documentation and communications

Premium shall be deemed paid when received by the Intermediary. Loss settlements shall be deemed paid when remitted by the Intermediary to the Company.

10.5 Insolvency Clause

In the event of the insolvency or bankruptcy of the Company, the reinsurance provided by this Treaty shall be payable directly to the Company, the liquidator, receiver, or statutory successor, on the basis of liability of the Company without diminution because of the insolvency or bankruptcy of the Company.

The liquidator, receiver, or statutory successor shall give written notice to the Reinsurer of the pendency of a claim against the Company within a reasonable time after such claim is filed in the insolvency proceeding.

10.6 Access to Records

The Reinsurer or its authorized representatives shall have the right to inspect and audit the Company's records relating to business covered under this Treaty during normal business hours and upon reasonable notice.

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ARTICLE 11: CATASTROPHE PROVISIONS

11.1 Catastrophe Definition

For the purposes of this Treaty, a catastrophe is defined as an event or series of events arising out of one occurrence which results in:

- Aggregate gross losses to the Company exceeding USD 5,000,000, or
- Losses affecting 25 or more separate risks

11.2 Catastrophe Reporting

The Company shall provide the Reinsurer with a preliminary catastrophe report within ****72 hours**** of the event, including:

- Description of the catastrophe
- Estimated number of claims
- Estimated aggregate loss amount
- Geographic area affected

11.3 Catastrophe Accumulation

The Company warrants that it maintains adequate catastrophe modeling and accumulation controls to ensure that:

- Probable Maximum Loss (PML) for earthquake does not exceed USD 15,000,000 per event
- Probable Maximum Loss (PML) for windstorm does not exceed USD 20,000,000 per event
- Aggregate exposure in any single building does not exceed USD 10,